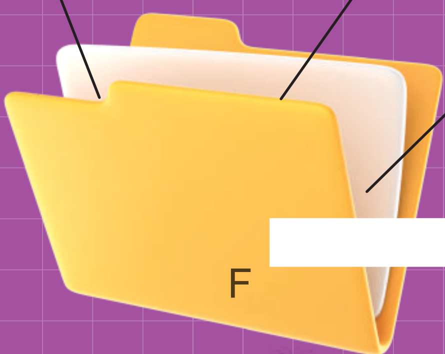
There might also be royalty deals. In a royalty deal, the investor provides the company the capital, and for every sale the company makes, it has to pay a small amount to the investor as royalty. The royalty can be for perpetuity or for a limited amount of time.

As seen, different instruments can be used. Once agreed upon, other clauses must be discussed with the investors. For example:

What is the lock-in period for founders, i.e., founders can't sell any shares within the lock-in period?

What is the ESOP pool size that needs to be set aside?

What is the preference for an exit, etc.?.



All these clauses need to be addressed before finalizing the deal. Once you agreed on the amount, the percentage, the structure of the deal, the instruments being used, and the es agreed upon, you have bal agreement for the fund-raise.

F ks